Entity D: Vantage Retail

Financial Profile Report, FY 2024-2025. Source: Financial_Metrics_Benchmark_4_Entities.pdf (IRS Form 1120S/1065 line items and balance sheet). Risk score not calculated.

1. Executive Summary

Vantage Retail reports net revenue of $1,850,000 and recomputed EBITDA of only $185,000, a 10.00% margin. Total debt of $925,000 gives leverage of 5.00x, far above the other three entities.

Key metric	Value
Net revenue	$1,850,000
Recomputed EBITDA	$185,000
Total debt	$925,000
Debt / EBITDA	5.00x
EBITDA margin	10.00%
EBITDA / interest	4.1x

2. Revenue Analysis

Line item	Form line	Amount
Gross receipts / sales	1a	$1,910,000
Returns & allowances	1b	$60,000
Net revenue	1c	$1,850,000

Returns and allowances reduce gross receipts by 3.14%. Reconciliation check: $1,910,000 - $60,000 = $1,850,000, which matches the reported Line 1c.

3. EBITDA Reconciliation

Component	Form line	Amount	% of net revenue
Taxable income / net	21	$15,000	0.81%
+ Interest expense	13	$45,000	2.43%
+ Depreciation & amortization	14	$35,000	1.89%
+ Officer compensation	7	$90,000	4.86%
= Recomputed EBITDA		$185,000	10.00%

The benchmark formula adds officer compensation back to EBITDA, which is not standard EBITDA. The sensitivity in Section 6 shows the figures without that add-back.

4. Debt Structure and Leverage

Item	Form line	Amount	Share of debt
Short-term debt	17d	$275,000	29.73%

Item	Form line	Amount	Share of debt
Long-term debt	19d	$650,000	70.27%
Total debt		$925,000	100.00%

Debt / EBITDA = $925,000 / $185,000 = 5.00x. Total debt is 50.00% of net revenue.

5. Profitability and Coverage

Ratio	Value
EBITDA margin (EBITDA / net revenue)	10.00%
Taxable income margin	0.81%
Interest expense / net revenue	2.43%
EBITDA / interest expense	4.1x
Depreciation & amortization / net revenue	1.89%
Officer compensation / net revenue	4.86%

6. Analyst Commentary

• Debt equals 50.00% of revenue. Interest expense ($45,000, 2.43% of revenue) is the heaviest relative to size, and EBITDA covers it only 4.1x. Short-term debt is 29.73% of the total, the highest in the group.

• Taxable income is $15,000, just 0.81% of net revenue, so the entity is close to break-even on a tax basis. Returns and allowances are 3.14% of gross receipts, the highest of the four.

• Sensitivity: EBITDA depends heavily on add-backs. Officer compensation ($90,000) is 48.65% of EBITDA. Without it EBITDA is $95,000, which would put leverage at 9.74x.

Sensitivity	EBITDA	Debt / EBITDA
As reported (with officer add-back)	$185,000	5.00x
Excluding officer compensation add-back	$95,000	9.74x

7. Data Limitations

• The source lists tax-return and balance-sheet figures only. No bank-statement totals are given, so tax-to-bank variance (data integrity) cannot be assessed.
• No scheduled principal and interest payments are given, so debt service coverage (DSCR) is not calculated. EBITDA / interest is shown as a proxy.
• The risk score and risk category are intentionally excluded from this report.